AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI EXAMINATION

APRIL/ MAY 2019

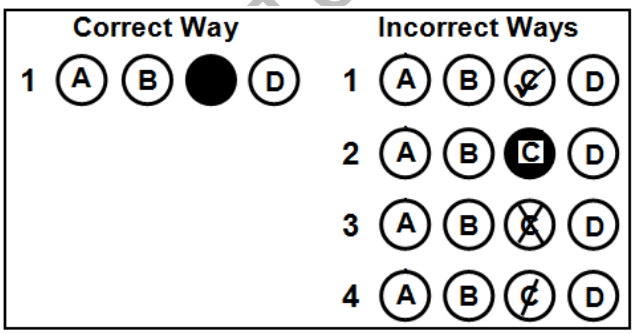
Principles of Commerce Paper I

Time: 40 minutes Marks: 25

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish.

1. Saba buys and sells goods to earn profit.

   With reference to the scope of business, Saba will be referred as a

   A. trader.
   B. professional.
   C. manufacturer.
   D. service provider.

2. The given image depicts a court room where the judge is giving a judgment.



   The activity performed by the judge would be classified as a

   A. trading activity.
   B. servicing activity.
   C. voluntary activity.
   D. manufacturing activity.

3. In order to expand her cement manufacturing business, Zahra requires a large area for building of factory.

   She is MOST likely to locate her factory in

   A. a coastal area.
   B. a residential area.
   C. an industrial zone.
   D. the heart of the business hub.

4. Nimrah has been appointed as a director in a public limited company. She was MOST likely appointed by

   A. bankers.
   B. managers.
   C. shareholders.
   D. board of directors.

5. Anabia Limited has invited its members to a meeting to discuss last year's business performance and appoint auditors for next year.

   This type of meeting is called a/ an

   A. statutory meeting.
   B. annual general meeting.
   C. board of directors' meeting.
   D. extraordinary general meeting.

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6. Which of the following is an advantage of a company?

A. Secrecy
B. Tax saving
C. Limited liability
D. Government restriction

7. Which statement CORRECTLY distinguishes between public and private limited company?

	Public Limited Company	Private Limited Company
A	Its shares are transferable.	Its shares are non-transferable.
B	It does not issue prospectus.	It issues prospectus.
C	It requires a minimum of 2 directors.	It requires a minimum of 7 directors.
D	It is not compulsory for it to call statutory meeting.	It is compulsory for it to call statutory meeting.

8. At the time of winding up of Anabia Limited, the equity section of the statement of financial position (balance sheet) was as under:

Account Title	Amount (Rs)
Shareholder's Equity	
Authorized capital	30,000,000
Issued and paid up capital	20,000,000
Liabilities	
Bank loan	1,200,000
Trade (accounts) payables	600,000

The account title that would be given the LEAST priority by Anabia Limited would be

A. bank loan.
B. authorized capital.
C. trade (accounts) payables.
D. issued and paid up capital.

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9. Hanif and Shahid are partners in a business. Recently, they have announced that Atif, a famous artist, is their partner too. Atif has allowed them to use his name but he has neither contributed any capital nor is he taking part in the business activities.

With reference to types of partners, Atif will be classified as a

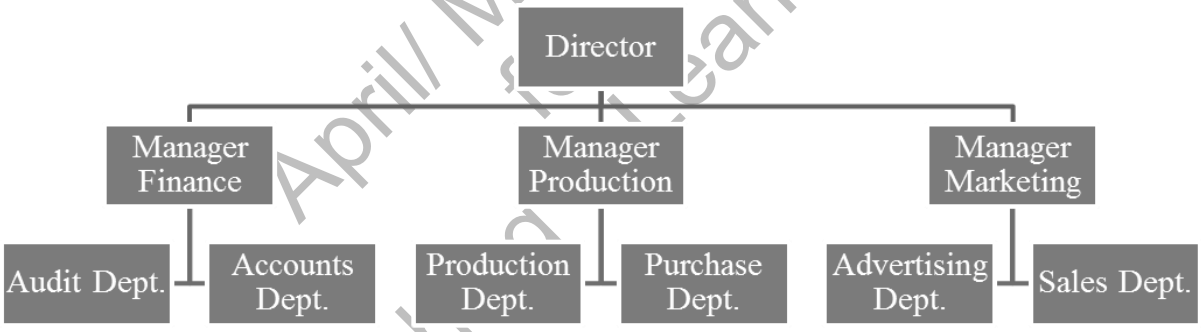
A. silent partner.
B. secret partner.
C. nominal partner.
D. limited liability partner.

10. Sobia has been appointed as a Chief Executive Officer (CEO) in a company. She has advised the directors to change the structure of the organisation by decentralising the company in various zones.

The type of departmentation advised by Sobia is called

A. hybrid.
B. product.
C. territory.
D. customer.

11. The organisational chart of Alpha Limited is given below.



The given organisational chart indicates departmentation with respect to

A. product.
B. function.
C. location.
D. customer.

12. Ahmed is a wholesaler who purchases goods in bulk and sells them in small quantities.

The goods that are LEAST likely to be dealt by Ahmed are

A. rice.
B. bread.
C. cold drinks.
D. crockery items.

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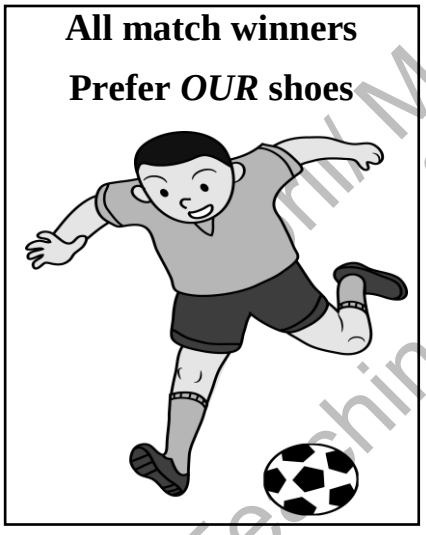
13. The key objective of marketing process is to increase

A. production capacity.
B. profit of the business.
C. quality of the product.
D. customer's satisfaction.

14. Identify the correct sequence of indirect channel of distribution.

	Flow
A	Producer → Wholesaler → Retailer → Consumer
B	Manufacturer → Distributor → Promoter → Consumer
C	Producer → Retailer → Distributor → Consumer
D	Manufacturer → Distributor → Seller → Purchaser

15. A shoe manufacturer, in order to promote its product nationwide, has designed the following advertisement immediately after the end of the football world cup.



The MOST efficient and cost effective mode of advertisement for the business would be

A. television.
B. billboards.
C. pamphlets.
D. newspaper.

16. Many new businesses prefer to open as a retailer rather than wholesaler business because

A. less capital is required to start a retail business.
B. more space is required to open a retail business.
C. no skills are required to operate a retail business.
D. more labour force is required to operate a retail business.

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17. Trade and development authority of a country X has placed an embargo on import of all automobiles.

This means that the supplier of automobiles from other countries will be

A. allowed to export unlimited quantity of automobiles to country X.
B. required to export restricted quantity of automobiles to country X.
C. asked to pay extra duty on the automobile sold to country X.
D. restricted to sell any automobiles to country X.

18. The other name for 'claim letter' is

A. order letter.
B. inquiry letter.
C. dunning letter.
D. complaint letter.

19. Self-contained business letters conveying the entire message without need of further clarification are

A. concise.
B. concrete.
C. complete.
D. courteous.

20. The part of the business letter that is used to formally greet the receiver is known as

A. salutation.
B. letterhead.
C. main body.
D. subject line.

21. The given extract of the letter has been written by Aamna to Wasif.

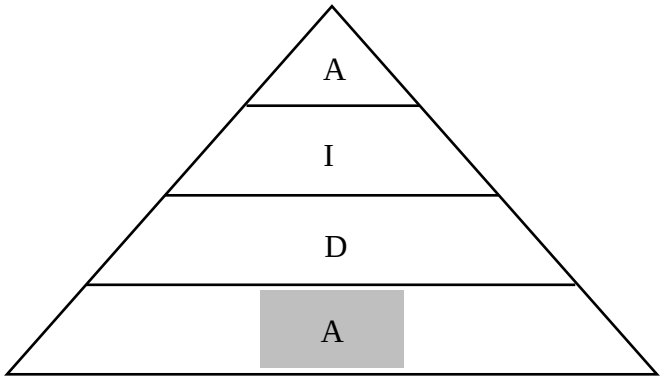
> Thank you for your interest in our electronic items. In response to your questions in last letter, I am attaching a copy of the catalogue of the items. Note all the items listed in the catalogue are available and will be delivered to you within four working days after the receipt of the order.

With reference to types of letter, the given extract will be classified as a/ an

A. solicited inquiry letter.
B. unsolicited inquiry letter.
C. solicited reply to an inquiry letter.
D. unsolicited reply to an inquiry letter.

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22. With reference to the principles of sales letter, the highlighted **A** refers to



A. active.
B. action.
C. attention.
D. awareness.

23. Al-Mehran Company is planning to introduce a new product in the market but due to rapid changes in consumers' taste, there is a chance that the product may fail.

The type of risk depicted in the given situation is known as

A. credit risk.
B. controllable risk.
C. uncontrollable risk.
D. semi-controllable risk.

24. Which of the following is an auxiliary to trade?

A. Retailing
B. Exporting
C. Warehousing
D. Manufacturing

25. An insurance policy that is purchased generally for cargo and the risk coverage starts when the ship leaves the port of departure and ends when the ship reaches the port of destination is known as

A. valued policy.
B. voyage policy.
C. floating policy.
D. unvalued policy.

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END OF PAPER

Please use this page for rough work

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